RBI - OFFICIAL REGULATORY DIRECTION

Master Circular on Cash Disbursement Limits and Mode of Loan Payouts

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Chapter 1: Operational Compliance Guidelines (DOC_001)

Chapter 2: Operational Compliance Guidelines (DOC_001)

Section 3.2: Product-Wise Cash Disbursement Ceilings

3.1 General Principle of Digital Disbursement
All Non-Banking Financial Companies (NBFCs) shall disburse approved loan proceeds directly into the verified bank account of the borrower via NEFT, RTGS, or IMPS. Physical currency disbursement is strictly restricted to the statutory thresholds specified in Table 3.1 below.

3.2 Statutory Exceptions and Cash Caps
In accordance with Section 269SS of the Income Tax Act and RBI Fair Practices Code, cash payouts across the counter are permitted only up to Rs. 19,999 for Gold Loans and Rs. 25,000 for rural microfinance emergency loans. Any disbursement exceeding these limits must be executed exclusively through electronic clearing mandates.

Table 3.1: Mandatory Regulatory Schedule (DOC_001)

Loan Product Category	Max Cash Disbursement Cap		Approval Authority
Gold Loans (Retail)	Rs. 19,999	NEFT / IMPS to KYC Bank Account	Branch Operations Manager
Secured MSME Term Loans	Rs. 10,000	RTGS / NEFT to Current Account	Regional Credit Head
Microfinance Emergency	Rs. 25,000	Direct Benefit Transfer / NEFT	Area Risk Officer
Personal Unsecured Loans	Rs. 0 (Strictly Digital)	IMPS / NEFT Only	Automated LOS Gate
Agricultural Input Loans	Rs. 20,000	Kisan Credit Card / Bank Transfer	Zonal Agri Head

Chapter 4: Operational Compliance Guidelines (DOC_001)

Chapter 5: Operational Compliance Guidelines (DOC_001)

Chapter 6: Operational Compliance Guidelines (DOC_001)